

consistent superior performance with this frequency of trading on the basis of luck alone? Such an outcome would border on statistical impossibility.

As successful as Balodimas has been, from my objective perspective, it seemed that he wasn't applying his methodology to its full potential. Specifically, the markets he anticipates will be major tops and bottoms invariably trend for a long time once they reverse. Yet despite this consistent pattern and his skill in identifying these major turning points before they happen, he only trades a small part of the ensuing trend. It seemed obvious to me that he could further improve his performance by simply trading these markets for a much longer time—a conclusion with which he agreed. The point is that even the best traders may not be executing their strategies in the best way. Any trader that has an edge, as Balodimas clearly does, should consider whether the trading methodology being employed is best aligned with that edge.

I am frequently asked whether becoming a Market Wizard is a matter of innate talent or hard work. My standard answer is to use a running analogy. As intimidating as the task may seem to those physically unconditioned, most people can run a marathon given sufficient training and dedication. But only the small minority born with the right physical characteristics will ever be able to run a 2:15 (men) or 2:30 (women) time, regardless of how hard they work. The analogy for trading is that similar to running a marathon, proficiency is achievable with hard work, but performing at an elite level requires some degree of innate talent. Balodimas provides a good example. Sure, he was extremely dedicated to succeeding as a trader and willing to work long hours with full focus on trading, but his level of trading success was only possible because he has some innate skill, some inner radar, that gives him a sense of what markets will do. I don't care how devoted someone is to trading or how many hours they are willing to watch trading screens, the reality is that this type of skill will be out of reach for most people.

There is no single true path to trading success. On the contrary, the trading methodologies employed by the Market Wizards are extraordinarily varied. The trading approaches used are not merely different, but in the case of someone like Jimmy Balodimas, the trading methodology may be closer to a mirror image of what other traders do than bearing any similarity.